

EXPENSIVE

CODING REQUIREMENTS

MISSING OUT ON SUBTLE OBSERVATIONS



With all this data, we can determine the strategies that seem to be working. We can then check the strategy on different kind of assets and also for different kinds of markets – upwards, sideways and downwards.

However, the software that we mentioned are at times expensive and also require the trader to learn basic coding skills. Furthermore, the trader does not have a complete understanding of the nature of the strategy since a direct result is thrown up without the trader going through the charts. This means the trader does not have a complete understanding of the nature of the strategy and how it can be improved. The positive side of this is that it is extremely fast and gives us the result within minutes.

To overcome the above limitations i.e. expensive, coding requirement and missing out on subtle observations, we will begin with back-testing strategies manually for a while. The testing might be much slower but it will enhance our understanding of the charts and the strategy many folds. As a result, it is strictly recommended for beginners to put in the time to back-test strategies on their own. Later on, they can experiment with the software to do it automatically. The advanced version is relatively complicated and is beyond the reach of this book. Here, we will stick to checking it manually as we will want learners to get as efficient as possible. To manually check whether the strategy is working or not, we will follow the following steps-